of India, 1921–1955, Vol.3, Sage Publications India Pvt. Ltd, New Delhi, 2003, p. 32

7 Council drafts or rupee drafts were orders by the Secretary of State for India to the Government of India to pay rupees. These orders when sent by post were called council bills and when in a telegraphic form were called telegraphic transfers. These orders were sold to British banks, firms, and importers in exchange for sterling received from them. Council drafts had been sold even before 1893 but only to meet the requirement of the so called Home Charges. After 1893, the sale of council drafts was extended beyond the requirements of the Secretary of State, and in 1904, the Secretary of State announced that he would sell council bills on India without limit at 1s 4 1/8d. By this means the balance of exports over imports could be paid for in London without the export of gold. This also was a way of preventing the rate of exchange from rising higher than 1s 4 $^{1}/_{8}$ d. Reverse council drafts were orders by the Government of India to the Secretary of State, to pay sterling in return for rupees received by them. The demand for reverse councils arose when the payments to be made abroad were larger than those made by foreigners to the country and this could only happen when imports were larger than exports. Reverse councils were not sold below 1s 3 $^{29}/_{32}$ d. Thus the exchange rate was prevented from deviating much from the rate of 1s 4d.

8 *Ibid.*, p. 33.

9 He was a Parsi businessman and the first Indian to be a member of a Royal Commission.

10 Amiya Kumar Bagchi, *The Evolution of the State Bank of India: The Era of the Presidency Banks, 1876–1920*, Vol. 2, Sage Publications India Pvt. Ltd, New Delhi, 1997, p. 538.

11 *Ibid.*, p. 538.

12 *Ibid.*, p. 539.

13 G.D. Birla, *Indian Currency in Retrospect*, Allahabad, 1944, p. 12.

14 Even the Government of India felt constrained to warn the Secretary of State in October 1924 against further appreciation of the rupee as the ‘volume and importance of opposition to this policy’ which was